

FinOps Loop

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Inform → optimise → operate cloud spend

PROFESSIONAL DEFINITION

The FinOps Loop is a continuous cycle — Inform, Optimise, Operate — for managing cloud and AI spend collaboratively across finance, engineering and business teams.

WHO DEVELOPED IT

Codified by the FinOps Foundation, building on cloud-financial-management practice.

WHY IT WAS DEVELOPED

It was developed to bring financial accountability to variable cloud and AI consumption without slowing engineering.

FIGURE 1 · FINOPS LOOP

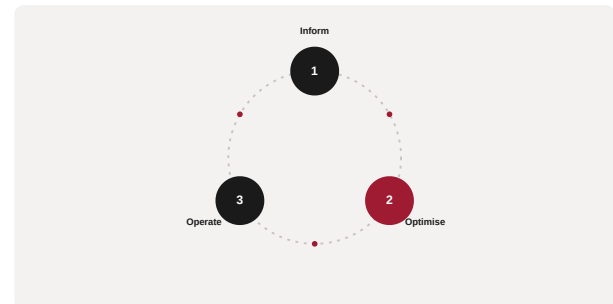


Figure 1. A schematic of the FinOps Loop as applied in BARBM312 (illustrative).

HOW IT IS USED

Teams cycle through visibility (Inform), efficiency action (Optimise) and embedding practices (Operate), iterating continuously.

WHEN IT IS USED

When establishing ongoing AI and cloud cost governance.

BY WHOM IT IS USED

FinOps practitioners, finance and engineering leaders.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It operationalises cost management as a shared, continuous practice rather than a periodic finance exercise.

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Cloud Cost Waterfall · Slibrary 10

Latency-Cost Frontier · Slibrary 10

Data Gravity Map · Slibrary 10

SOURCES (HARVARD REFERENCING STYLE)

FinOps Foundation (2020) FinOps Framework.

Storment, J.R. and Fuller, M. (2019) Cloud FinOps. Sebastopol: O'Reilly.